Published: October 14, 2026

Rheinmetall AG (RNMBY / RHM) Defense-Cycle Valuation

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Record $95.0B backlog and expanding capacity support a **Buy** rating and a $350 per-ADR headline target.

BUY	$350	+67%	$209.90
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

Funded demand, a record $95.0B backlog and margin-insulated pricing power sustain multi-year revenue and cash-flow growth.

Europe's rearmament cycle supports durable demand

From early 2025 to Q3 2026, Europe shifted from reactive defense spending to structured long-term fiscal mobilization. European NATO members and Canada raised core defense spending by nearly 20% in real terms in 2025, to 2.3% of combined GDP, while the June 2025 Hague summit targeted 5% of GDP by 2035 and the EU's Readiness 2030 framework aims to mobilize up to $944B, including a $177B lending instrument for joint procurement.

Germany, 38% of Rheinmetall's sales, is the engine: Berlin approved a $97.6B 2026 defense budget, $23.8B more than 2025, and with $30.1B from the Sondervermögen (Special Armed Forces Fund), total 2026 military spending reaches $127.7B. Real-term budget growth of 16.5% in 2025 and 23.2% in 2026 gives domestic contracts a guaranteed funding source.

The backlog mirrors the inflow: **$66.1B in mid-2025, $75.3B at year-end and a record $95.0B by June 30, 2026.** Vertical integration keeps critical production steps in-house and captures scale economics from rising volumes.

$209.90	$127.7B	$95.0B	$11.72B	~$51.8B	Oct. 9 2026
REF. PRICE	GERMAN DEFENSE	BACKLOG 2026	2025 SALES	MARKET CAP	REF. CLOSE

Near-term trajectory: funded demand, execution-driven revenue

Rheinmetall closed FY 2025 with **$11.72B in sales, up 29%** year over year, at an **18.5% operating margin**. A 15% Q1 2026 contraction to $2.32B as deliveries slipped a quarter was followed by a 39% Q2 rebound to $3.98B, lifting net income 109% to $346M. Management guides 40% to 45% sales growth in 2026 ($16.5B to $17.1B) at a 19% operating margin; analysts expect roughly 27% average annual revenue growth over three years, ahead of the broader German aerospace and defense sector's 22%.

Industrial indicators confirm the pivot from order acquisition to supply-chain management as the key revenue driver. German manufacturing PMI hit 52.2 in July, around 54.3 in August and 53.8 in September 2026, its strongest stretch since early 2022, with the Eurozone at 52.7; the real stock of German industrial orders meanwhile rose 10.9% year over year on defense contracts. Costs are rising too: German producer prices lifted 4.6% year over year in August while supplier delivery times lengthened, but near-monopolistic pricing power and Price Adjustment Clauses pass inflation to sovereign clients, helping the Weapon and Ammunition division to a 29.3% operating margin in 2025.

Three scenarios make execution risk explicit

The five-year DCF spans management's $59B by 2030 ambition across three execution paths; the Base case broadly tests that revenue target.

SCENARIO	WEIGHT	2026–30 CAGR	2030 REVENUE	MATURE FCF	TARGET	UPSIDE
Bear (Conservative)	25%	26.6%	~$43B	11%	**$207**	−1%
Base	50%	37.0%	~$59B	13%	**$342**	+63%
Bull	25%	45.6%	~$75B	15%	**$508**	+142%

Bear: Capacity and cash conversion improve more slowly, limiting upside despite strong demand.

Base: Backlog conversion and execution broadly deliver management's $59B by 2030 ambition.

Bull: Accelerated production and operating leverage convert exceptional demand into superior cash flow.

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The probability-blended target offers 67% upside

Blended target: $350 per ADR

A 25% Bear / 50% Base / 25% Bull weighting implies 67% upside from the current price of $209.90.

$350
BLENDED TARGET

Capacity investment depresses near-term cash flow, not the long-term thesis

The valuation uses a five-year discounted cash flow model covering 2026–2030. Near-term free cash flow is depressed by working-capital absorption as Rheinmetall expands capacity. The model reflects that pressure through low starting free-cash-flow margins that ramp toward scenario-specific mature levels rather than assuming immediate steady-state conversion.

This construction separates the demand thesis from the cash-conversion path. A large backlog can support revenue visibility while working capital, capital expenditures and execution timing still delay equity value realization. Prepayments cushion this: over $2B in 2025 customer prepayments offset working-capital needs, funding roughly $990M of capex without net debt.

2026E revenue base	**$16.8B**
Valuation horizon	**2026–2030**
Live WACC (Oct. 2026)	**~9.2%**
Terminal growth	**2.0%**
Net debt	**~$3.2B**

Per-ADR mechanics are explicit

The model applies an ADR ratio of **one ordinary share to five ADRs**, or approximately **230.7M ADRs outstanding**. Net debt of approximately **$3.2B** reflects the reported euro-denominated balance translated at approximately $1.18 per €1; the same rate converts all euro-reported figures in this note to dollars. Enterprise value is converted to equity value after net debt, then divided by ADRs outstanding.

Methodology note. The discount rate updates with the live U.S. 10-year Treasury yield via GOOGLEFINANCE plus beta × equity risk premium: beta 1.10 and a 3.63% ERP are the analyst's assumptions. Terminal growth is 2.0% and the ADR price also updates via GOOGLEFINANCE; the $350 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

Execution and cash conversion remain the key risks

Capacity-ramp execution
Plant expansions, supplier readiness or qualification delays could defer revenue. Lengthening delivery times and bottlenecks in nitrocellulose, specialized explosives and rare earth materials are the key headwinds for the push toward 350,000 155mm shells per year.

Operating cash flow
Working-capital absorption could remain elevated longer than modeled and prolong negative operating cash flow.

Customer concentration
Reliance on the German government creates exposure to procurement timing, contract structure and policy priorities.

Defense-budget politics
Election outcomes, coalition priorities or fiscal constraints could slow the pace of European spending.

Competitive intensity
KNDS, BAE Systems and General Dynamics compete across vehicles, weapons and adjacent defense programs.

Discount-rate sensitivity
A higher live 10-year Treasury yield raises WACC and can materially compress the modeled per-ADR targets.

The risk/reward remains favorable despite a wide outcome range

The Bear case acknowledges that operational friction can outweigh demand strength over the model horizon. The Base and Bull cases show the value created if backlog conversion, capacity additions and operating leverage progress as planned. With the ADR near the bottom of its 52-week range and approximately 52% below its high, the current price offers an attractive entry point for investors able to absorb execution and cash-flow volatility.

Investment view: Buy. The $350 blended target implies 67% upside, balancing the $207 / $342 / $508 Bear / Base / Bull outcomes. Below Strong Buy because the weighted return trails the 47% upside of the prior base-case framework.

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